

DOCUMENT 1: Indonesia Real Estate Legal Framework

Complete guide to property ownership, transactions, and regulations for foreign buyers

Indonesia's property legal framework presents unique challenges and opportunities for foreign investors. While foreigners cannot own freehold land (Hak Milik), [Gbgindonesia +2](#) the 2020 Omnibus Law and subsequent regulations have created viable pathways for property investment through **Hak Pakai** (Right to Use) titles lasting up to 80 years, [Medium](#) **leasehold agreements**, and **PT PMA company structures**. Understanding these options—and their limitations—is essential for any foreign buyer considering Indonesian real estate.

Property ownership types explained

Hak Milik (HM) — Freehold ownership

Hak Milik represents the strongest and most complete form of land ownership in Indonesia, equivalent to freehold title in common-law jurisdictions. [Business-indonesia](#) This perpetual right passes through generations without time limit. [Bali Home Immo](#)

Key characteristics:

- Duration is permanent and inheritable [Business-indonesia](#)
- Freely transferable through sale, gift, or inheritance [Business-indonesia](#) [Gbgindonesia](#)
- Can be used as mortgage collateral [Business-indonesia](#)
- Registered with and issued by BPN (Badan Pertanahan Nasional) [Business-indonesia](#)

Eligibility: Indonesian citizens only, plus certain Indonesian institutions (religious and social bodies). Foreigners and Indonesian companies (including PT PMA) **cannot** hold Hak Milik under any circumstances. [Business-indonesia +7](#)

Critical restriction: Under Article 21 of the Basic Agrarian Law (UUPA No. 5/1960), foreigners who inherit Hak Milik through intestate succession or marital property mixing must dispose of it within **one year**, or the land forfeits to the state. [Mr Fixit Bali](#) [Bali Home Immo](#)

Hak Guna Bangunan (HGB) — Right to build

Hak Guna Bangunan grants the right to construct and own buildings on land belonging to the state or another party. [Business-indonesia +3](#) This is the most common title for commercial and residential development. [ABNR](#)

Duration under Government Regulation No. 18/2021:

- Initial term: **30 years**
- First extension: **20 years**
- Second renewal: **30 years**
- **Total: Up to 80 years**

Eligibility: Indonesian citizens, Indonesian legal entities, and **PT PMA companies** (foreign investment companies). [ABNR +2](#) Individual foreigners cannot directly hold HGB—they must establish a PT PMA. [Power Property Bali](#) [Own Property Abroad](#)

Important features: HGB is fully transferable, can be mortgaged at banks, [Business-indonesia](#) and converts to Hak Milik when sold to an Indonesian citizen. [Ardhanabusinessgroup +2](#)

Hak Pakai (HP) — Right to use

Hak Pakai is the primary avenue for individual foreign property ownership in Indonesia. This right allows use and occupation of land for residential purposes. [Digitalnomadindonesia](#) [Nour Estates](#)

Duration under Government Regulation No. 18/2021:

- Initial term: **30 years**
- First extension: **20 years**
- Second renewal: **30 years**
- **Total: Up to 80 years**

Eligibility for foreigners:

- Must hold valid immigration documents (KITAS or KITAP), [Nour Estates](#) [LegalClarity](#) though recent 2023 changes allow passport/visa holders to initiate purchases
- Property must meet minimum price thresholds (IDR 5 billion in Bali for landed houses) [Cekindo](#) [Indonesiarealestatelaw](#)
- Limited to **one residential property** per person/family [Bali Home Immo](#)
- Maximum land area: **2,000 square meters**

Types of Hak Pakai:

1. HP over state-owned land (Tanah Negara)
2. HP over Hak Pengelolaan (Management Rights) land
3. HP over Hak Milik land (through agreement with landowner via PPAT deed) [Exotiq Property](#) [Makarim](#)

Hak Sewa — Leasehold

Hak Sewa grants the right to use land or buildings by paying rent. [Own Property Abroad](#) This is the most accessible option for foreigners as it requires no residency permit or company formation. [Medium](#)

Key characteristics:

- Typical duration: **25-30 years** with negotiated extensions up to 80 years [Emerhub](#) [Own Property Abroad](#)

- **Not registered** with BPN—the notarized lease agreement serves as the legal document Gbgindonesia
Medium
- Cannot be used as mortgage collateral Power Property Bali
- Rights depend entirely on contractual terms Exotiq Property

Advantages: Simple to obtain, no KITAS required, lower cost than PT PMA formation. **Disadvantages:** No official certificate, weaker legal protection, rights revert to landowner at lease end.

Hak Guna Usaha (HGU) — Right to cultivate

Hak Guna Usaha applies to state-owned land for agricultural activities including plantations, fisheries, and animal husbandry. socialexpat +2 Duration reaches **95 years** (35+25+35 years). Lexology Gbgindonesia
Minimum land size is **5 hectares**. Business-indonesia Available to Indonesian citizens and PT PMA companies—individual foreigners cannot directly hold HGU. Business-indonesia

Foreign ownership restrictions under Indonesian law

What foreigners can legally own

Structure	Available Rights	Requirements
Individual foreigner	Hak Pakai, Hak Sewa, HMSRS (strata title in designated zones)	KITAS/KITAP for Hak Pakai; none for Hak Sewa
PT PMA company	HGB, HGU, Hak Pakai, Hak Sewa	>IDR 10 billion investment plan, IDR 2.5 billion paid-up capital
Foreign representative office	Hak Pakai, Hak Sewa	Valid representation status

Minimum property prices by province (2024)

For landed houses (Rumah Tapak):

- DKI Jakarta, Banten, West Java, Central Java, East Java, Yogyakarta, **Bali: IDR 5 billion**
(~\$318,000) [Cekindo](#)
- West Nusa Tenggara: IDR 3 billion
- North Sumatra, East Kalimantan, South Sulawesi, Riau Islands: IDR 2 billion
- Other provinces: IDR 1 billion [Bali-information](#)

For apartments:

- DKI Jakarta: IDR 3 billion [Cekindo](#) [Bali-information](#)
- **Bali**, West Java, Central Java, East Java, Yogyakarta, Banten: **IDR 2 billion**
- Other provinces: IDR 750 million–1 billion [Cekindo](#)

Prohibited areas

Foreigners cannot purchase property in national security zones near military installations, protected forests, heritage sites, disputed border regions, or certain coastal areas. [Invest Asia](#)

Legal structures for foreign ownership

PT PMA (Foreign Investment Company)

PT PMA (Perseroan Terbatas Penanaman Modal Asing) is the standard legal structure for foreigners to hold property with full ownership rights through HGB title. [Invest-islands +2](#)

Capital requirements (BKPM Regulation No. 5/2025):

- Total investment plan: **>IDR 10 billion** (~\$600,000–750,000)
- Minimum paid-up capital: **IDR 2.5 billion** (~\$150,000–160,000)
- Capital lock period: 12 months (Exotiq Property)

Establishment process:

1. Verify business activity eligibility under Positive Investment List
2. Choose appropriate KBLI codes (business classifications)
3. Register company name with Notary (must contain 3 words) (Ilaglobalconsulting)
4. Draft Deed of Establishment
5. Register with BKPM through Online Single Submission (OSS)
6. Obtain Business Identification Number (NIB)
7. Process NPWP (tax card) and open corporate bank account (Bali Home Immo)
8. Timeline: Approximately **10 working days**

Advantages: Full legal property ownership through HGB, can operate commercial activities, can sponsor work permits, tax deductions for operational costs.

Disadvantages: High capital requirements, complex compliance obligations, annual reporting requirements (quarterly LKPM reports), physical office required.

Nominee arrangements are illegal

Nominee arrangements—where foreigners fund purchases registered in Indonesian names—are **explicitly illegal** under Indonesian law and courts will not enforce them. (Invest-islands) (Putranto Alliance)

Landmark case: Supreme Court Decision Number 3020 K/Pdt/2014 ruled that a foreigner who purchased property using an Indonesian nominee had no legal claim when the nominee sold the property

without consent. The court declared the arrangement "null and void" under Article 21(1) of UUPA and Article 1320 of the Indonesian Civil Code. [Mondaq](#)

Documented scale: Research from the Indonesian Nominee Crisis Working Group (K3NI) revealed approximately **10,500 land plots** worth **\$10.4 billion** held through illegal nominee structures, including ~7,500 villas. [Bali Villa Realty](#)

Risks include: No legal ownership recognition, property loss without recourse, government seizure, criminal liability, and potential imprisonment. [Invest-islands](#) [Bali Villa Realty](#)

Mixed marriage considerations

Under the 1974 Marriage Law, property acquired during marriage becomes joint marital property. Combined with foreign ownership restrictions, this means Indonesian spouses married to foreigners **cannot hold Hak Milik** unless protected by a **prenuptial agreement** establishing separation of assets.

A **postnuptial agreement** is also possible following a 2016 Constitutional Court decision, allowing couples already married to separate assets and restore the Indonesian spouse's property rights.

Land titles and certificates

Certificate types explained

Certificate	Indonesian Name	Who Can Hold	Duration	Bankable
SHM	Sertifikat Hak Milik	Indonesian citizens only	Permanent	Yes
SHGB	Sertifikat Hak Guna Bangunan	Indonesians, PT, PT PMA	Up to 80 years	Yes
SHP	Sertifikat Hak Pakai	Includes eligible foreigners	Up to 80 years	Limited
SHMSRS	Strata Title	Includes foreigners in designated zones	Tied to land rights	Yes

Certificate	Indonesian Name	Who Can Hold	Duration	Bankable
Girik/Letter C	Traditional documents	Historical holders	Invalid after Feb 2, 2026	No

Critical deadline for traditional documents

Per Government Regulation No. 18/2021 and Permen ATR/BPN No. 16/2021, **Girik, Letter C, and Petuk D documents will not be valid as proof of ownership after February 2, 2026.** Cekindo After this deadline, these documents become mere "location indicators," and land without proper certificates may be considered state-controlled.

Converting Girik to SHM

The conversion process requires:

1. Obtain non-dispute certificate and land history from village office
2. Submit application to BPN with original documents, KTP, PBB receipts
3. BPN conducts land measurement and survey
4. 60-day public announcement period
5. BPHTB payment
6. Certificate issuance

Timeline: Approximately **6 months**

Property transaction process

Step-by-step from offer to completion

Phase 1: Due diligence (2-8 weeks)

- Certificate verification at BPN
- Check for encumbrances, liens, disputes
- Tax payment verification (PBB)
- Zoning and building permit compliance
- Physical boundary inspection

Phase 2: PPJB (Preliminary Agreement)

- Sign Perjanjian Pengikatan Jual Beli if conditions not yet met for AJB [Emerhub](#) [socialexpat](#)
- Pay deposit (typically **10-20%**)
- Lock in price and terms

Phase 3: Tax payments

- Seller pays **PPh: 2.5%** of transaction value [Ilaglobalconsulting](#) [Emerhub](#)
- Buyer pays **BPHTB: 5%** of (property value minus NPOPTKP threshold) [Cekindo +2](#)

Phase 4: AJB execution

- PPAT reads deed aloud
- Parties sign in presence of witnesses
- Full payment completed
- PPAT submits to BPN within 7 working days

Phase 5: Title transfer

- BPN verifies documentation

- New certificate issued in buyer's name (approximately **14 working days**)

Total timeline: Typically **1-3 months** from PPJB to completion

Due diligence checklist

- ☐ Verify certificate authenticity at BPN
- ☐ Confirm certificate type matches seller's claims
- ☐ Check for Hak Tanggungan (mortgage) or liens
- ☐ Search court records for seizures
- ☐ Verify PBB payments current (Emerhub) for 5 years
- ☐ Obtain zoning certificate from local government
- ☐ Confirm building permits (IMB/PBG) (Emerhub) and SLF
- ☐ Conduct physical boundary inspection
- ☐ Verify seller's ownership and authority to sell
- ☐ Check for inheritance disputes (all heirs must consent)
- ☐ Investigate adat/community claims (Exotiq Property)

Role of PPAT (Land Deed Official)

PPAT (Pejabat Pembuat Akta Tanah) is legally required for all land transactions. The PPAT:

- Drafts and authenticates land deeds (AJB)
- Verifies title authenticity
- Calculates applicable taxes
- Witnesses transaction signing
- Submits deeds to BPN for registration

Fees: Typically **0.5%-1%** of transaction value. Without PPAT involvement, transactions are **not legally recognized**.

Comprehensive taxation guide

Transfer and acquisition taxes

BPHTB (Buyer's Transfer Tax):

- Rate: **5%** of (NPOP – NPOPTKP) [Cekindo +2](#)
- Jakarta NPOPTKP: IDR 250 million (first property); IDR 1 billion (inheritance) [Jakarta](#)
- Bali/other regions: Typically IDR 60-100 million
- Must be paid **before** AJB signing [Bali Exception](#) [Own Property Abroad](#)

PPh (Seller's Income Tax):

- Rate: **2.5%** of gross transaction value [Emerhub](#) (final tax) [Cekindo](#) [Easternedge](#)
- Must be paid before AJB signing

Annual property tax (PBB)

- Maximum national rate: **0.5%** (regional variations apply) [Cekindo](#) [Own Property Abroad](#)
- Calculated from NJOP (government-assessed value) $\times$ NJKP rate (20-40%) [Own Property Abroad](#)
- Payment due within **6 months** of SPPT issuance [Bali Exception](#)
- Late penalty: **2% per month** interest [Indonesia Business Post](#) [Translate](#)

Example calculation (IDR 5.8 billion NJOP property):

- $\text{NJKP} = 40\% \times (5,800,000,000 - 12,000,000) = \text{IDR } 2,315,200,000$ [Own Property Abroad](#)
- $\text{PBB} = 0.5\% \times \text{NJKP} = \text{IDR } 11,576,000$ ($\sim \$720/\text{year}$) [Own Property Abroad](#)

VAT and luxury goods tax

- **VAT on new property:** 11% (Ilaglobalconsulting) (12% for luxury properties ≥IDR 30 billion from February 2025) (LMI Consultancy)
- **PPnBM (luxury goods tax):** 20% for properties valued ≥IDR 30 billion (Farsight24) (Tranio)
- Secondary/used property sales are **VAT exempt** (Bali Exception)

Rental income taxation

Tax Resident Status	Rate	Notes
Residents (>183 days)	10% final withholding	On gross rental income
Non-residents	20% (Bali Exception) withholding (GCS)	Reducible to 10% with DTA

Indonesia has signed **71 Double Taxation Agreements** with countries including USA, UK, Australia, and Singapore. (ASEAN Briefing)

Stamp duty (Bea Meterai)

Fixed rate: **IDR 10,000** (~\$0.62) per document (pwc) for all property agreements and deeds.

Zoning and building permits

Zone categories in Bali

Zone Color	Purpose	Construction Allowed
Green Zone	Agriculture, conservation, rice paddies	NO - strictly prohibited
Yellow Zone	Residential development	Yes with permits
Pink Zone	Tourism (hotels, resorts)	Yes with tourism permits
Orange Zone	Mixed-use	Yes with specific regulations

Zone Color	Purpose	Construction Allowed
Red Zone	Commercial/industrial or hazard	Varies by designation

Green Zone warning: Land offered in green zones with promises of re-zoning should be avoided—the process takes years and may never succeed. Agricultural land conversion requires government approval under Law No. 41/2009 and is rarely granted. [Bali Home Immo](#)

Building height restrictions

Bali enforces strict height limits based on **Perda No. 16 of 2009:**

- Maximum **15 meters** (height of a coconut tree) in tourist areas [Exotiq Property +2](#)
- Maximum **18 meters** outside tourist zones
- Stricter limits near temples and cultural sites

Coastal setback requirements

Under the 2016 Presidential Regulation:

- **100-meter setback** from highest tide line designated as public space [Exotiq Property](#)
- Buildings must be set back at least **100 meters** from high water mark
- Beaches **cannot be privatized** under national law

Building permits: IMB to PBG transition

The former IMB (Izin Mendirikan Bangunan) system was replaced by **PBG** (Persetujuan Bangunan Gedung) in November 2021.

Key requirements:

- Architectural and structural plans
- Land rights documentation

- Application through SIMBG online platform

SLF (Sertifikat Laik Fungsi) — the occupancy certificate — confirms the building meets safety standards. [Bali Home Immo](#) Valid for 20 years (residential) or 5 years (other buildings).

Penalties for unpermitted construction: Demolition, fines, legal action, inability to sell or operate legally.

Recent regulatory changes (2020-2025)

Omnibus Law (Job Creation Law) impacts

Law No. 11/2020 (updated to Law No. 6/2023) introduced major reforms: [Lexology](#)

- Extended **Hak Pakai and HGB** to 80 years total
- Extended **HGU** to 95 years total
- Foreigners can now own **HMSRS strata title** in designated economic zones
- Electronic land registration introduced
- Land Bank (Bank Tanah) concept established
- OSS (Online Single Submission) system for permits

Government Regulation No. 18/2021 highlights

- Foreigners owning strata title must be in special economic zones, free trade zones, industrial zones, tourism zones, or urban zones [Global Law Experts](#)
- Maximum **2,000 square meters** land area per foreigner
- **One plot per person/family** restriction

- Properties must meet minimum price thresholds

Bali-specific regulations (2025)

- Governor Koster's **15 Priority Regional Regulations** addressing overdevelopment
 - Stricter enforcement on **beach privatization**
 - Enhanced **coastal setback enforcement**
 - Paused approvals for new hotels in overdeveloped districts
 - Proposed **daily tourist tax** modeled on Bhutan
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Inheritance and succession

When property owners die

If heirs qualify for Hak Pakai:

- Property can be inherited
- Heir must hold valid KITAS/KITAP
- Must meet same eligibility requirements (Medium)

If heirs don't qualify:

- Property must be sold within **one year**
- Failure results in forfeiture to the state (IcIg)

For Hak Milik inherited by foreigners: Must relinquish, sell, or convert to Hak Pakai within one year under Article 21(3) UUPA.

Through PT PMA: Shares in the company can be inherited; the company continues to hold property rights. This involves corporate succession rather than direct land transfer.

Dispute resolution mechanisms

Available methods

1. **Negotiation** — Direct meeting between parties
2. **Mediation** — Mandatory at start of civil court proceedings
3. **Arbitration** — Through BANI (Badan Arbitrase Nasional Indonesia)
4. **Litigation** — District court, with appeals to High Court and Supreme Court

Typical timelines

- Mediation: Days to weeks if successful
- Court proceedings: **1-3 years** typically
- Complex disputes with appeals: **5+ years**

Common dispute types

- Boundary and overlapping certificate disputes
 - Inheritance complications with multiple heirs
 - Customary (adat) land rights versus formal registration
 - Certificate validity challenges
 - Community versus corporation conflicts
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Contract types and essential clauses

PPJB (Preliminary Agreement) essentials

- Purchase price and payment schedule
- Conditions precedent for AJB execution
- Penalty clauses for delays (both parties)
- Seller's ownership guarantee
- Deposit forfeiture and refund provisions
- Timeline to completion

Lease agreement (Hak Sewa) essentials

- Specific start and end dates
 - Initial payment and annual rent amounts
 - **Extension options with pricing** (critical)
 - Exit and transfer clauses
 - Building ownership at lease end
 - Permitted uses and renovation rights
 - Dispute resolution under Indonesian law
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Red flags and common pitfalls

Warning signs to avoid

- Land in **green zones** with promises of re-zoning
- Properties without clear **PBG/SLF documentation**
- Sellers unable to produce **original title deeds**
- **Multiple claimants** to the same property
- **Below-market prices** suggesting hidden issues
- Pressure to complete without due diligence
- **Nominee arrangement proposals** (illegal)
- Promises of freehold ownership through "connections"

Essential protections

- **Never** attempt nominee arrangements
 - **Always** verify certificates at BPN
 - **Always** use a licensed PPAT notary
 - **Always** conduct comprehensive due diligence
 - **Never** build on green zone land
 - **Always** budget for all taxes, fees, and permit costs
 - **Always** engage qualified Indonesian legal counsel
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Key regulatory references

Regulation	Subject
UUPA No. 5/1960	Basic Agrarian Law — foundation of all land rights Lexology Emerhub
PP No. 24/1997	Land Registration
PP No. 103/2015	Foreign residential property ownership Emerhub
Permen ATR No. 29/2016	Minimum prices and land limits for foreigners
Law No. 11/2020	Job Creation Law (Omnibus Law)
GR No. 18/2021	Land rights, apartments, registration reforms Asean Briefing
Law No. 20/2011	Multi-Story Buildings (Condominiums)
PP No. 37/1998	PPAT Regulations

DOCUMENT 2: Indonesia/Bali Regional Terminology & Market Specifics

Complete guide to Bali property terminology, geography, and investment considerations

Bali's property market recovered to **6.3 million international visitors** in 2024, surpassing pre-pandemic levels [Wise](#) [investlandbali](#) and driving property values up an average of **7% annually** over five years. [investlandbali](#) This guide provides the essential regional knowledge for navigating Bali's unique market—from Indonesian legal terminology to neighborhood characteristics and practical ownership costs.

Complete Indonesian real estate glossary

Ownership and title terms

Indonesian Term	English	Definition
Hak Milik (HM)	Freehold	Strongest ownership; permanent; Indonesian citizens only GbgindonesiaMr Fixit Bali
Hak Guna Bangunan (HGB)	Right to Build	Leasehold for buildings; up to 80 years; PT PMA eligible Gapura Jakarta
Hak Pakai (HP)	Right to Use	Use rights; up to 80 years; foreigners with KITAS eligible
Hak Sewa	Leasehold	Rental agreement; no BPN registration; foreigners eligible
Hak Guna Usaha (HGU)	Right to Cultivate	Agricultural use; up to 95 years; minimum 5 hectares
Hak Pengelolaan (HPL)	Right to Manage	Government land management rights
HMSRS	Strata Title	Apartment unit ownership
Tanah Adat	Customary Land	Unregistered traditional land

Certificate abbreviations

Abbreviation	Full Indonesian Name	English
SHM	Sertifikat Hak Milik	Freehold Certificate
SHGB	Sertifikat Hak Guna Bangunan	Building Rights Certificate
SHP	Sertifikat Hak Pakai	Right to Use Certificate
Girik	—	Old land document (being phased out)

Legal documents

Abbreviation	Full Name	Purpose
AJB	Akta Jual Beli	Deed of Sale and Purchase (final) Knic Emerhub
PPJB	Perjanjian Pengikatan Jual Beli	Preliminary binding agreement Cariproperti
IMB	Izin Mendirikan Bangunan	Building permit (old system) Bali Villa Realty Emerhub
PBG	Persetujuan Bangunan Gedung	Building approval (new system) Emerhub
SLF	Sertifikat Laik Fungsi	Occupancy/worthiness certificate Emerhub
SPPT	Surat Pemberitahuan Pajak Terutang	Property tax notice

Government agencies and officials

Abbreviation	Full Name	Function
BNP	Badan Pertanahan Nasional	National Land Agency Bali Villa Realty
PPAT	Pejabat Pembuat Akta Tanah	Land Deed Official Knic LegalClarity
Notaris	—	Notary Public Bali Villa Realty
BKPM	Badan Koordinasi Penanaman Modal	Investment Coordinating Board
PLN	Perusahaan Listrik Negara	State Electricity Company
PDAM	Perusahaan Daerah Air Minum	Regional Water Company

Tax terminology

Abbreviation	Full Name	Description
PBB	Pajak Bumi dan Bangunan	Annual property tax Emerhub (0.1-0.5%)
BPHTB	Bea Perolehan Hak atas Tanah dan Bangunan	Transfer tax (5%)
PPh	Pajak Penghasilan	Income/seller's tax (2.5%)
PPN	Pajak Pertambahan Nilai	VAT (11%)
NJOP	Nilai Jual Objek Pajak	Government property valuation

Abbreviation	Full Name	Description
NPWP	Nomor Pokok Wajib Pajak	Tax identification number Emerhub
NPOPTKP	Nilai Perolehan Objek Pajak Tidak Kena Pajak	Non-taxable threshold

Property types

Indonesian	English	Description
Rumah Tapak	Landed House	Standalone house with own land
Villa	Villa	Luxury residence, often for rentals
Apartemen	Apartment	Unit in multi-story building
Ruko	Shophouse	Commercial ground floor + residence above
Tanah	Land	Land plot
Sawah	Rice Field	Wet rice cultivation land (often green zone)
Kebun	Garden/Plantation	Agricultural land
Pondok Wisata	Guesthouse	Small tourist accommodation

Transaction terms

Indonesian	English
Dijual	For Sale
Disewakan	For Rent
Uang Muka / DP	Down Payment Rumavi
Cicilan	Installment Rumavi
Lunas	Paid in Full
Nego	Negotiable
Net / Netto	Fixed (non-negotiable)

Indonesian	English
Balik Nama	Title Transfer

Measurement conversions

Unit	Equivalent	Notes
1 Are	100 m²	Standard unit for Bali land pricing
1 Hectare	100 are = 10,000 m²	Used for large properties
Per Are	Per 100 m²	Common pricing convention

Bali-specific terminology

Traditional architecture terms

Term	Meaning
Joglo	Traditional Javanese house with peaked roof; popular villa style Bali Home Immo
Bale/Balé	Open-sided pavilion; multiple bales form traditional compound Bali Home Immo
Pelinggih	Family temple found in every Balinese compound Bali Home Immo
Natah	Central courtyard in traditional compound
Gapura Bentar	Traditional split entrance gate
Alang-alang	Traditional palm fiber thatch roofing
Meru	Multi-tiered pagoda-style roof

Balinese directional terms

Balinese	Meaning	Significance
Kaja	Toward the mountain	Sacred direction
Kelod	Toward the sea	Profane direction
Kangin	East	Sunrise, considered sacred
Kauh	West	Sunset direction

Design principles

- **Tri Hita Karana** — Philosophy of harmony between humans, nature, and gods; core principle of Balinese architecture (UNESCO) (SEI)
- **Asta Kosala Kosali** — Traditional Balinese architectural guidelines (8 principles for design, symbols, measurements)
- **Arga Segara** — Sacred mountain-to-sea axis influencing building orientation

Administrative terms

Term	Meaning
Banjar	Traditional village/neighborhood council; approval needed for construction (Bali Holiday Secrets) (Bali Villa Realty)
Subak	UNESCO-protected traditional irrigation system (UNESCO)
Desa Adat	Traditional village with customary governance
Zona Kuning	Yellow zone — residential
Zona Hijau	Green zone — agricultural/protected
Zona Pink	Pink zone — tourism

Bali geographic areas and characteristics

Seminyak — upscale established hub

Character: Bali's most sophisticated tourist destination with high-end shopping, fine dining, and beach clubs. The "first stop" for most visitors.

Property types: Luxury villas, boutique hotels, commercial properties

Price ranges:

- Land: ~\$452/m² (IDR 7.18M/m²) baliexception
- 3-bedroom mansion: ~\$500,000 baliexception
- Luxury villas: \$900,000–\$3,000,000 baliexception

Demographics: Wealthy international investors, Australians, Europeans, hospitality owners

Pros: Premium location, highest rental demand, established amenities **Cons:** Most expensive area, heavy traffic, potentially saturated market

Canggu — digital nomad hotspot

Character: Transformed coastal village now the center for remote workers, surfers, and young expats. World-class surf breaks and eclectic dining.

Property types: Modern villas, co-living spaces, apartments

Price ranges:

- Land: ~\$214/m² (IDR 3.4M/m²) baliexception
- 2-bedroom villa: From \$248,000 baliexception

- 3-bedroom with pool: ~\$840,000 (baliexception)

Demographics: Digital nomads, entrepreneurs, sur (investlandbali)fers, young families (25-45 age group)

Pros: Strong rental yields (up to **10%**), vibrant community, multiple coworking spaces, **85% occupancy** in popular areas (Bali Home Immo) **Cons:** Worsening traffic, rapidly rising prices, infrastructure struggling

Ubud — cultural and spiritual heart

Character: Rice terraces, rainforests, art galleries, yoga centers, wellness retreats. Attracts healers, artists, and those seeking peace.

Property types: Villas with rice field views, eco-resorts, wellness centers

Price ranges:

- Land: ~\$215/m² (IDR 3.41M/m²)
- Average 3-bedroom villa: ~\$250,000
- Rice field view 2-bedroom: \$247,000+

Demographics: Wellness enthusiasts, retirees, eco-conscious buyers, artists

Pros: Lower prices than coastal areas, strong cultural appeal, year-round wellness tourism **Cons:** No beach access, narrow roads, high humidity

Uluwatu/Bukit Peninsula — dramatic clifftops

Character: Limestone cliffs, world-class surfing, stunning ocean views. Includes Pecatu, Ungasan, Balangan. Luxury resorts and beach clubs.

Property types: Clifftop villas, ocean-view properties, private resorts

Price ranges:

- Land: ~\$88/m² (IDR 1.4M/m²)

- Villas: \$277,000–\$770,000
- Luxury clifftop: \$650,000+

Demographics: Luxury travelers, surfers, beach club investors

Pros: ROI potential **7-15%**, spectacular views, room for appreciation **Cons:** Remote location, limited infrastructure, water supply issues

Sanur — family-friendly sunrise coast

Character: Laid-back, low-density coastal town with good infrastructure. Popular with retirees and families.

Property types: Traditional houses, residential villas, beachfront properties

Price ranges: \$3,000–\$4,000 per m²; more affordable than south Bali hotspots

Demographics: Retirees, families with children, long-term expats

Pros: Calm atmosphere, excellent infrastructure, good international schools, new ICON Mall (2024)

Cons: Less exciting nightlife, coral/seaweed beaches, lower rental yields

Other notable areas

Kuta/Legian: Budget-friendly, closest to airport (10-15 min), considered "peaked" **Jimbaran:** Former fishing village, famous seafood, beautiful bay, 15-20 min to airport **Nusa Dua:** Premium resort enclave, 5-star hotels, highest prices, "resort bubble" feel **Tabanan:** Bali's "rice bowl," emerging area, Paramount Theme Park planned **Pererenan:** New expat center, spillover from Canggu, up to **10% yields** **North Bali (Lovina):** Affordable, new airport planned, expect **20-50% price increase** **East Bali (Amed):** Hidden gem for diving, untapped potential, most affordable coastal

Distance to Ngurah Rai International Airport

Area	Travel Time
Kuta/Legian	10-15 minutes

Area	Travel Time
Seminyak	20-30 minutes
Jimbaran	15-20 minutes
Nusa Dua	20-25 minutes
Canggu	30-45 minutes
Sanur	25-35 minutes
Uluwatu	30-45 minutes
Ubud	60-90 minutes
Tabanan	60-90 minutes
Lovina/North	2.5-3 hours
Amed/East	2-2.5 hours

Infrastructure by area

International schools

Location	Notable Schools
Sanur	Bali Island School (IB), Sanur Independent School, Dyatmika School
Canggu	Canggu Community School (IB Diploma), ProEd Global School
Ubud	Green School, Pelangi School
Seminyak	Australian Independent School
Tabanan	British School of Bali

Tuition: IDR 100-250 million/year (\$6,500–\$16,000)

Hospitals

Facility	Location	Notes
BIMC Hospital Kuta	Kuta	24hr emergency, ACHS accredited
BIMC Siloam Nusa Dua	Nusa Dua	First Indonesian hospital with ACHSI accreditation
Siloam Hospitals Bali	Kuta	JCI accredited, 200 beds
Sanglah Public Hospital	Denpasar	Largest public hospital

Major shopping centers

- **Beachwalk** (Kuta) — Largest in Kuta, international brands
- **ICON Bali Mall** (Sanur) — Opened 2024, claims largest in SE Asia
- **Living World** (Denpasar) — Largest physical area
- **Seminyak Village** — Upscale boutiques
- **Bali Collection** (Nusa Dua) — High-end resort shopping

Coworking spaces (Canggu hub)

- **Tropical Nomad** — Most popular, 24/7 access
- **Dojo Coworking** — Beachfront at Echo Beach
- **Outpost** — Modern industrial style, coliving available
- **BWork Bali** — Rooftop yoga, networking events

Pricing: Day passes ~\$15-19; Monthly unlimited ~\$175-255

Market trends and investment analysis (2024-2025)

Current market conditions

The Bali property market is stabilizing after two years of rapid growth, with developers focusing on delivery quality over volume. Key indicators:

- **Price appreciation:** Average **7% annually** over 5 years; luxury villas up **12.46%** in past year
- **Q2 2025 data:** Prices softened slightly (-5% YoY), driven by apartments; freehold villas rose **+2.2%**
- **Premium for completed properties:** **22%** above off-plan
- **Tourism recovery:** **6.3 million** visitors in 2024 (19.5% YoY increase)

Rental yields comparison

Investment Type	Gross Yield
Standard properties	7-12%
Premium tourist areas (Seminyak, Canggu)	12-15%
Off-plan during construction	14-25%
Luxury developments	Up to 20%

Short-term rental performance:

- Average occupancy: **66%** (89-91% in peak August)
- Average daily rate: **\$93**
- Typical annual revenue: **\$22,712**
- Active listings: **58,123** rental properties

Regional comparison: Bali yields (8-15%) significantly outperform Phuket (5-10%), Bangkok (5-7%), and Vietnam (4-6%).

Price indicators by area (2024-2025)

Area	Land Price/m²	Typical Villa Price
Seminyak	\$452	\$500K–\$3M
Canggu	\$214	\$248K–\$840K
Ubud	\$215	~\$250K
Uluwatu	\$88	\$277K–\$770K
Sanur	\$300-400	Mid-range
Pererenan	Growing rapidly	\$495K (4-bed leasehold)

Premium factors affecting price

Factor	Price Premium
Beachfront access	30-50%+
Ocean/cliff views	20-40%
Rice field views	15-25%
Walking distance to beach	15-25%
Freehold vs leasehold	20-30%
Completed vs off-plan	22%

Emerging investment areas

Established (high returns, high prices): Canggu, Seminyak **Growing:** Uluwatu, Pererenan, Berawa
Emerging (lower entry, high potential): Seseh, Cemagi, Tabanan, Nyanyi, Munggu **Future potential:**
North Bali (new airport), Amed, Sidemen

Developer landscape

Major established developers

Developer	Notable Projects
Ciputra Group	Ciputra Beach Resort Tabanan (80 hectares)
Agung Podomoro Group	InterContinental Indigo Seminyak
PARQ Development	Ocean City Candidasa, PARQ Ubud, Citadel Uluwatu
Kanaan Land	Hideaway Villas (Uluwatu, Ungasan, Ubud)
Mirah Investment	780+ units under construction

Developer evaluation criteria

Green flags:

- Completed projects portfolio available to visit
- Track record of 3-5+ previous projects
- Construction-linked payment schedules
- Structural warranties offered
- LPJK registration and valid SIUJK license

Red flags:

- First-time developers without track record
- Time-linked (not construction-linked) payments
- No warranty offerings
- ROI guarantees over 10%
- Unwillingness to show completed projects

Off-plan considerations

Benefits: 10-25% below market value, capital appreciation during construction (20-30% typical), customization options, flexible payments

Risks: No standardized escrow system, limited warranties (typically only 3-month retention period), construction delays, developer default

Construction quality standards

Quality tiers

- **Standard to Medium:** \$580–\$750 USD per m²
- **Premium:** \$750+ per m²
- **Furnishing:** \$10,000–\$40,000 additional

Tropical climate considerations

Critical issues for Bali properties:

- **Rising damp** — Common with porous or low foundations
- **Humidity management** — Proper ventilation essential
- **Monsoon drainage** — Critical for roof and grounds
- **Termite treatment** — Required for wooden structures
- **Pool leakage** — Common complaint
- **Salt air corrosion** — Near coastal areas

Red flags for poor construction

- Cracks in walls within first year
 - No proper steel reinforcement in columns/beams
 - Inadequate foundation depth
 - Missing or substandard permits
 - Contractor without LPJK registration
-

Payment structures

Off-plan payment schedules (recommended structure)

Stage	Percentage
Reservation deposit	1-10%
Foundation completion	30%
Structure/roofing completion	30%
Finishing/completion	25%
Retention (held for defects)	5%

Critical note: Bali has **no standardized escrow system**. Payments typically go directly to developers or notary accounts. Always insist on construction-linked payments and retain 5% until final inspection.

Currency considerations

- Property prices commonly quoted in **USD**
- All transactions must legally settle in **IDR**

- Exchange rate fluctuations affect actual costs
 - Favorable when IDR weakens against buyer's currency
-

Practical ownership costs

Utilities

Electricity (PLN):

- Cost: IDR 1,450/kWh (~\$0.09)
- Monthly for 2-3 bedroom villa with AC: IDR 1.5-2.5 million (\$91-153)
- Prepaid token system most common

Water (PDAM):

- Monthly: IDR 100,000-400,000 (\$5-30)
- Coverage limited in popular areas; well water common
- Deep well drilling: IDR 50-200 million (\$3,000-12,500)

Internet:

- **Biznet Home:** 30-200 Mbps, IDR 250,000-575,000/month — best reliability
- **IndiHome:** Widest coverage, blocks Netflix without VPN
- Quality service: ~IDR 500,000-900,000/month (\$30-60)

Staff costs (monthly)

Role	Monthly Salary
Housekeeper	\$120-200
Gardener	\$50-120
Security guard	\$120-200
Villa manager	\$300-600
Chef	\$180-427

Total staff for 2-4 bedroom villa: \$600-1,400/month

Maintenance costs

Item	Monthly Cost
Pool maintenance	\$30-70
Garden/landscaping	\$30-90
General property upkeep	\$50-200 (annual budget \$600-2,400)
Air conditioning service	\$10-25 per unit quarterly

Management fees

Service Level	Fee
Basic/marketing only	8-12% of rental income
Standard	12-15%
Full management	15-20%
Premium/luxury	18-25%

Insurance

- **Premium rate:** ~0.2% of property value annually
- **Example:** IDR 2 billion property = ~IDR 4.29 million (\$270)/year
- **Major providers:** Zurich, Allianz, AXA, MSIG
- **Note:** Volcanic eruption coverage usually requires additional rider

Banjar (community) fees

- **Monthly:** IDR 50,000-250,000 (\$3-15)
- **Purpose:** Local infrastructure, security, cultural activities
- **Mandatory** for all properties

Monthly ownership cost summary (2-4 bedroom rental villa)

Category	Monthly (USD)
Staff payroll	\$600-1,400
Utilities	\$200-300
Pool & garden	\$60-160
Maintenance/repairs	\$50-200
Management fees	\$300-800
Insurance	\$25-50
Taxes (PBB + Banjar)	\$30-80
Total	\$1,500-3,500

Cultural considerations for property ownership

Banjar relationships

The **Banjar** (traditional neighborhood council) is critical for smooth property operations:

- Approval often needed for construction/development
- Can halt projects even with government permits
- Monthly fees mandatory
- Community participation expected

Temple land considerations

- **100-meter minimum setback** from temples required
- Buildings must respect sacred **kaja-kelod** (mountain-sea) axis
- **Brown zone** reserved for temples — no residential development
- Height limit of **15 meters** island-wide

Mandatory building elements

Bali building codes require traditional design elements:

- **Angkul-angkul** (Balinese gateway)
- **Aling-aling** (privacy wall)
- Traditional rooflines/decorative elements
- Failure to comply = permit denial

Ceremony obligations

- **Canang sari** (daily offerings) expected on property
- Major ceremonies (Galungan, Nyepi) affect services

- Budget for contributions to local ceremonies
- **Nyepi** (Day of Silence) — complete shutdown of activities

Community relations tips

- Attend local ceremonies when invited
 - Contribute to Banjar activities and funds
 - Employ local staff when possible
 - Build relationships with **Klian Banjar** (community leader)
 - Respect noise restrictions during Nyepi
-

Visa options for property owners

Second Home Visa

Total cost: ~~IDR 21 million~~ (\$1,300)

- Visa fee: IDR 3 million
- ITAS (5-year permit): IDR 12 million
- IMK permit: IDR 6 million

Requirements:

- IDR 2 billion (\$130,000) bank deposit in Indonesian bank, **OR**
- Property ownership via Hak Pakai worth IDR 5 billion (\$305,000+) for Bali

Duration: 5 or 10 years

Limitation: Cannot work or rent out property while on this visa

Other options

- **Tourist e-VOA:** IDR 500,000 (\$30), 30 days extendable once
 - **Social/Cultural Visa:** ~\$200-300, 60 days with extensions
 - **Investor KITAS:** For commercial operations, requires PT PMA
-

Key investment insights

Market strengths

- Higher rental yields than regional competitors (**8-15%** vs 5-7%)
- Year-round tourism reduces seasonality risk
- Strong digital nomad demand creating long-term stability
- Major infrastructure investments underway
- Property values appreciated significantly since 2019
- Faster ROI payback (**5-6 years** vs 8-12 years Thailand)

Market challenges

- Foreigners cannot own freehold land directly
- Variable construction quality requires careful vetting
- No standardized escrow protection
- Limited warranty standards (typically 3 months)
- Some areas showing oversupply signs

- Average daily rental rates declining as operators compete

Strategic recommendations

1. **Location:** Consider emerging areas (Pererenan, Nyanyi, Tabanan) for better entry prices
2. **Property type:** Compact 1-2 bedroom units in high demand with premium per-m² pricing
3. **Completed vs off-plan:** Completed properties command 22% premium but eliminate construction risk
4. **Developer due diligence:** Essential — verify track record, visit completed projects
5. **Payment structure:** Insist on construction-linked payments with 5% retention
6. **Legal structure:** Work with experienced notary; understand leasehold vs PT PMA options
7. **Property management:** Professional management significantly improves occupancy and returns
8. **Exit strategy:** Consider lease extension negotiations and resale timing

These documents are current as of December 2025. Property laws, tax rates, and market conditions change frequently. Always consult qualified Indonesian legal and tax professionals for specific transactions.